

periods involved in most businesses before the company starts actually earning on the investments made.

What if a company cannot afford so much debt and still wants to go ahead and expand? In this case, the company will seek "equity capital" instead of "debt capital". Equity capital is not required to be paid back. All a company has to do in exchange for equity capital is give part ownership of the company. That is when the company goes "public" and floats an Initial Public Offering (IPO).

To float an IPO, the price per share and the number of shares to be sold are determined jointly by the company and the investment banker. A public offering is the only time investors can buy stock directly from the company. At all other times, investors buy and sell shares from each other via a stock exchange like the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).

Price of a share and fluctuations

What determines the price of the stock is essentially the number of buy or sell orders for that stock. If the ratio of buy and sell orders is even, then the stock will continue to trade at the same price. If the number of buy orders is higher than the sell orders (which means that the company that has issued the shares is doing well and everyone wants to hold its shares), then it will trade at a higher price.

On the other side, if there are more sell orders than buy orders (which means that the share issuing company is not performing well and fewer people want to hold shares in such a company), then it will trade at a lower price.

The above fluctuations in share prices are very logical and mathematical. Let us say that a company floats an IPO issue distributing 1000 shares at ₹ 10 per share. The total price of stock is ₹10,000. Suppose the company is doing well and many people want to buy shares of this company. If 200 more people want to buy this stock at ₹12, then the total additional amount that will be invested is ₹400 ($₹2 * ₹200$). The total number of shares does not change, as each share represents a holding in the company. Thus the